three dead simple edges in macro etfs

stuff you can trade drunk af and still make money

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Sh

hi!

if you understand how edge is created in markets, you can do the simplest most neanderthal stuff and make money.

. . .

i'll prove it to you.

i'm going to show you three dead simple edges that you can trade spy and tlt.

these are so simple, so easy, that even i can't mess them up.

and neither can you.

. . .

i've hinted about them for years on twitter.

today i'm going to show you explicitly what they are and how to

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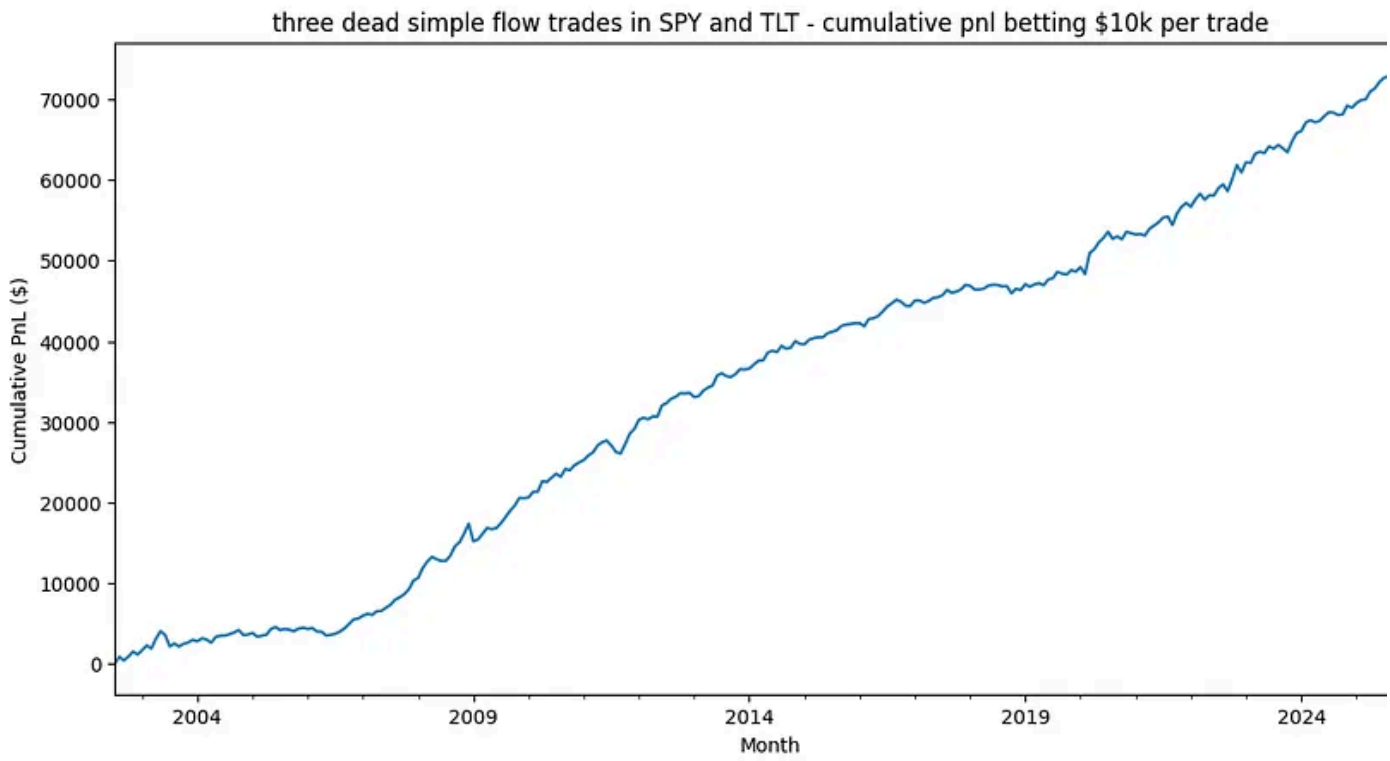

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. . .

all of these trades basically look like this

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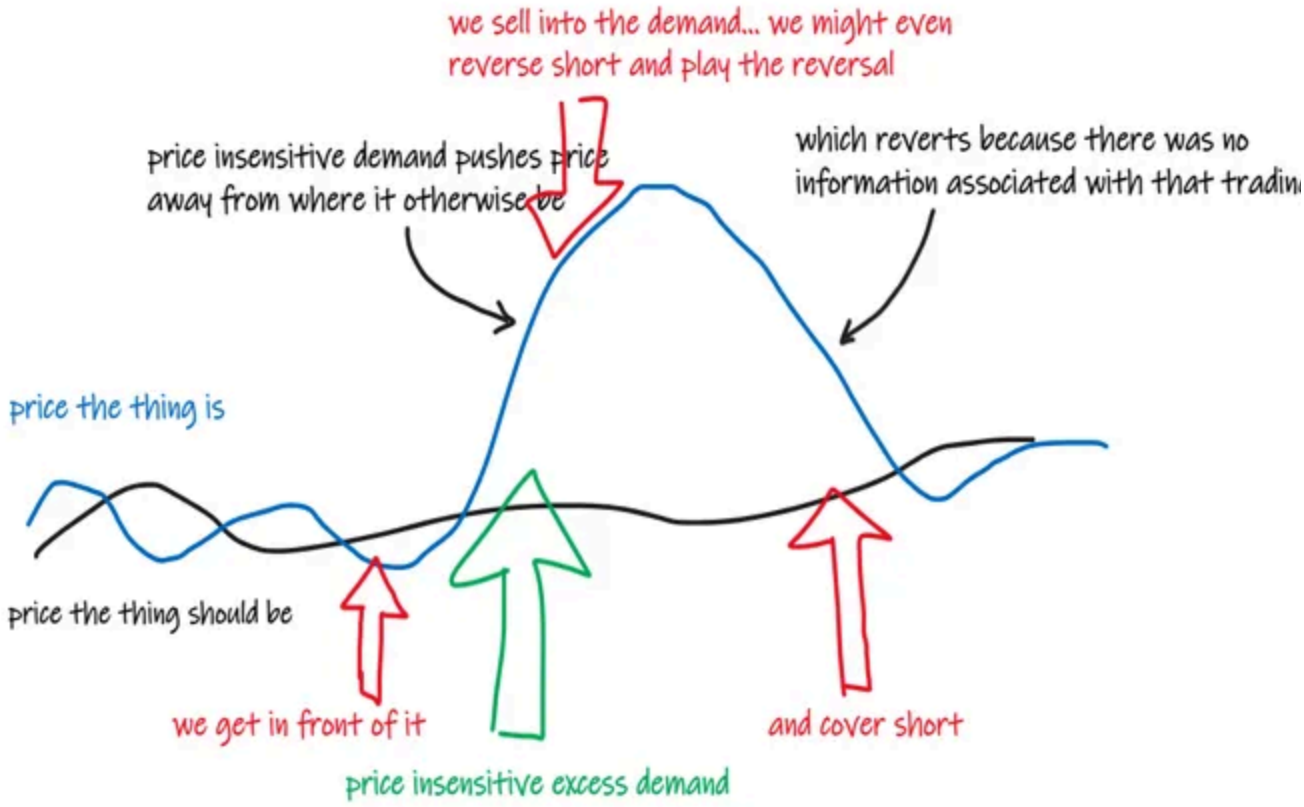

...

imagine you are short $100k of some piece of trash.

the price doubles.

now you are short $200k of some piece of trash.

that’s twice as big and twice as risky as you wanted.

whether you want to or not, you’re going to need to cover some of that position.

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this is an example of a forced flow.

you might not want to trade, you might not like the prices you're going to get, but you ***have*** to trade, or you're going to die.

forced flows like this can distort price temporarily. and you can trade them profitably if you can identify them.

buying liquidations in crypto is a good example of this.

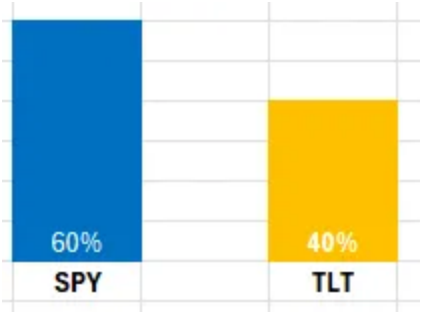
. . .

a more mundane example is rebalancing flows.

consider you're in a 60/40 stock/bond portfolio.

maybe you're 60% in spy and 40% in tlt, for example.

when you put your positions on, your portfolio looks like this.



but then the market moves.

one of them is going to grow more than the other one.

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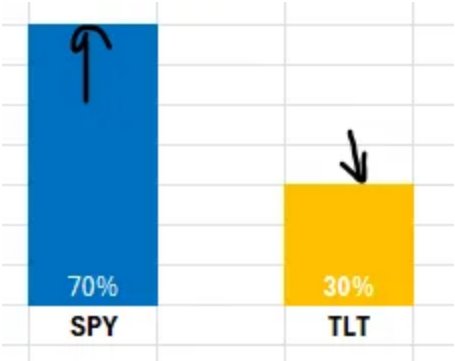

> *so what do you have to do?*

well, you want to get back to the portfolio you wanted in the fi
place.

so you need to trade.

you need to sell down the spy position and add to the tlt positi

and so do a lot of other people.

a massive proportion of the wealth management industry is in thi
kind of portfolio.

and they're all doing the same kind of rebalance trades in the s
kind of way, at the same kind of time.

. . .

> ***might this create tradeable dislocations?***

yeah. it absolutely does.

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strategy 1 – end of month spy / tlt rebalance flows

on the trading day 15 of each month, calculate month-to-date returns for SPY and TLT

if SPY MTD > TLT MTD, go long TLT the next trading day

if TLT MTD > SPY MTD, go long SPY the next trading day

hold until the end of the month

none of this is brain surgery.

trading day 15 ain’t special.

i just picked that cos i had to pick a number for you.

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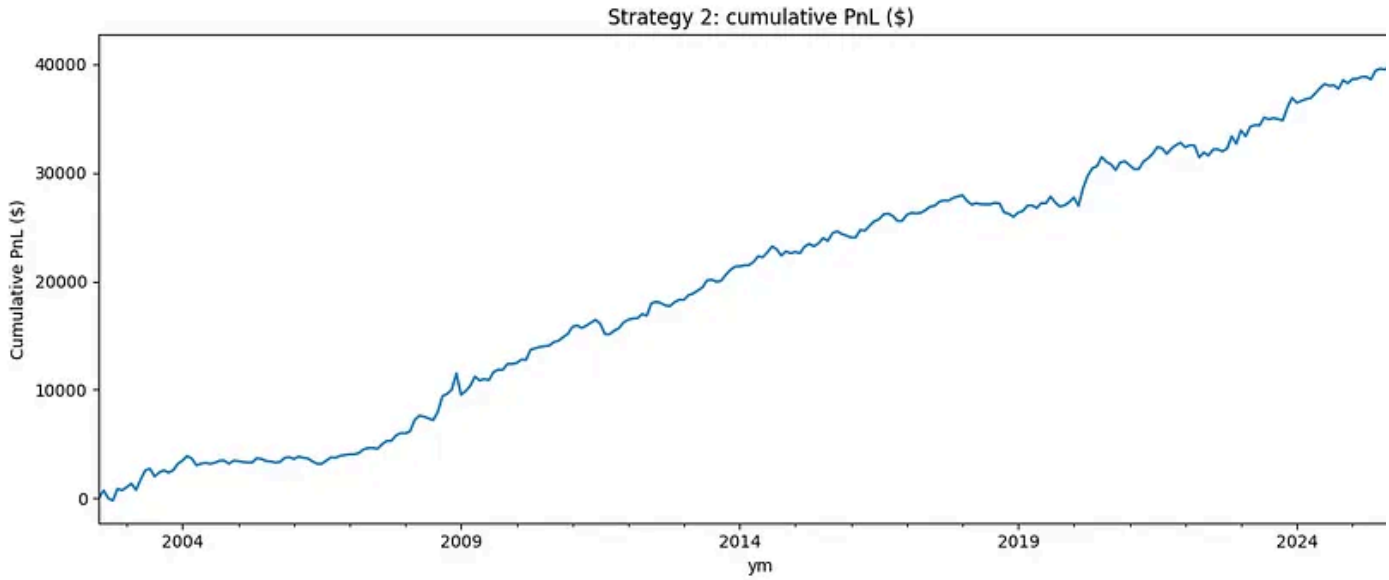
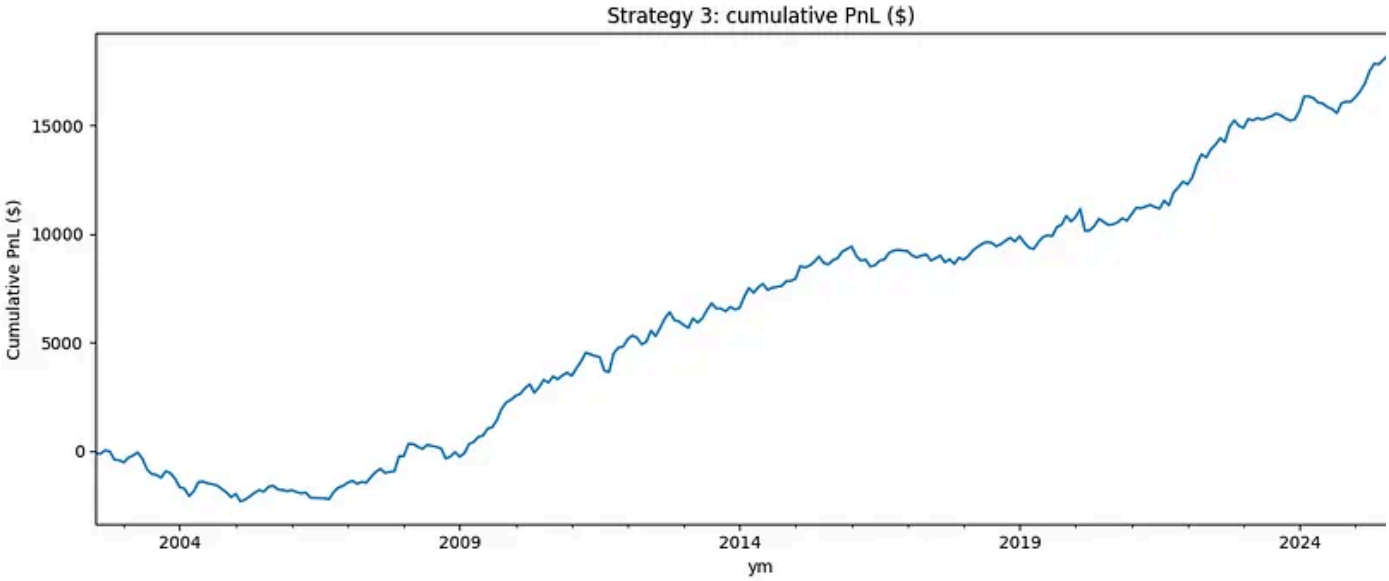
. . .

now i'm going to show you two more similar ideas. you can trade a
of these by hand easily using websites like tradingview.





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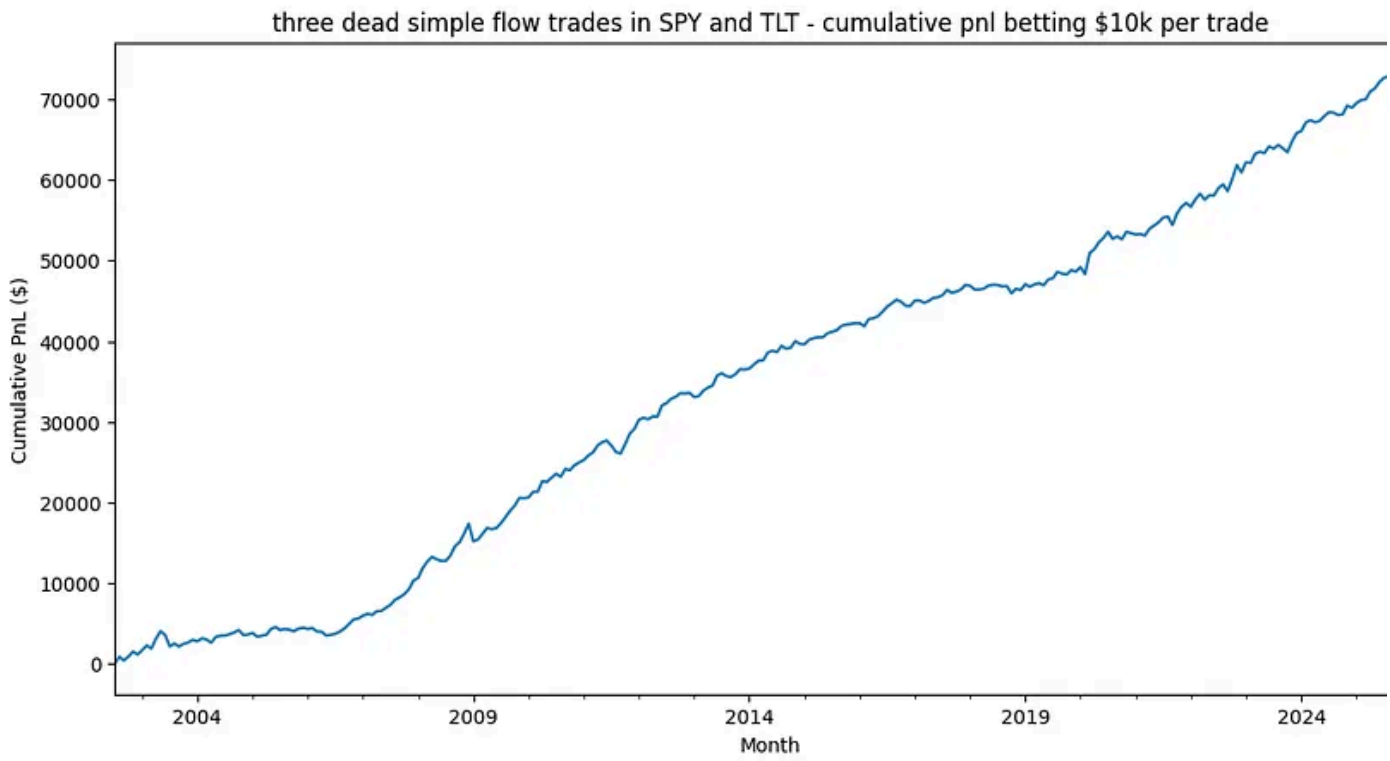

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